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Document Owner: Head of Enterprise Commercials

Commercial Packaging Guide: VI Business (India)

1. Executive Purpose and Document Scope

The Commercial Packaging Guide provides the standardized framework for structuring, pricing, and bundling managed enterprise services offered by VI Business (India). It establishes the rules for Total Contract Value (TCV) configuration, ensuring margin protection (minimum 15% Internal Rate of Return), predictable automated billing, and compliance with the Department of Telecommunications (DoT) tariff regulations.

This internal commercial ledger is the foundational logic used by the automated CPQ (Configure, Price, Quote) system in Salesforce and serves as the pricing playbook for Enterprise Account Managers, Commercial Finance, and Bid Coordinators.

2. Definitions, Assumptions, and Applicability

Definitions:

- **MRC / OTC:** Monthly Recurring Charge / One-Time Charge.
- **ARC / RRC:** Annual Recurring Charge / Revenue Run Rate.
- **ZTP:** Zero-Touch Provisioning (reducing OTC installation charges for CPE).
- **BoM:** Bill of Materials.

Assumptions:

- All pricing metrics and thresholds are defined exclusively in Indian Rupees (INR), excluding applicable Good and Services Tax (GST) unless explicitly noted.
- The baseline currency for contract generation is INR. Multi-currency contracts are only permitted via Deal Desk escalation for global subsidiaries operating within India.

Applicability:

- **Audience:** Enterprise Deal Desk, AMs, Commercial Finance, Solutions Architects.
- **Scope:** Managed Network Services (Optical/SD-WAN), Enterprise IoT/Mobility, Cloud Interconnects, and Security (SOC).

3. Bundles and Package Structure

To simplify quoting and minimize solution design delays, VI Business utilizes a "T-Shirt Sizing" model for core infrastructure managed services.

3.1 SD-WAN Branch Packages (Per Site)

All packages include the underlying connectivity (Internet Leased Line or MPLS), the edge Customer Premises Equipment (CPE), and centralized Orchestrator licensing.

Package Tier	Edge Bandwidth	Target Use Case	Hardware Inclusion	Base SLA
Small (Retail/ATM)	Up to 10 Mbps	Rural banking outposts, retail storefronts.	Basic uCPE (e.g., FortiGate 40F)	99.9%
Medium (Branch)	10 Mbps – 100 Mbps	Regional corporate offices, logistics hubs.	Advanced uCPE (e.g., FortiGate 80F)	99.95%
Large (HQ/DC)	> 100 Mbps (HA Pair)	Data centers, primary corporate hubs.	High-End uCPE (e.g., FortiGate 200F/HA)	99.99%

3.2 Enterprise IoT/Mobility Aggregation

Priced on a shared data pool (cAPN) model rather than per-SIM linear pricing.

- **Data Pool Activation:** INR 10,000 OTC (Setup of dual-region cAPN routing).
- **Per-SIM MRC:** Tiered based on cumulative active estate (e.g., >50k SIMs reduces the baseline MRC by 20%).

4. Attach Services and Add-Ons

To increase the Average Revenue Per User (ARPU) and client stickiness, baseline connectivity must be quoted with optional managed add-ons.

Service Add-On	Pricing Logic	Deployment Condition
Managed 4G/5G Wireless Backup	Flat MRC per site (Includes SIM + Data Pool).	Must accompany standard SD-WAN CPE. Eliminates terrestrial fiber dual-path dependency.
Advanced Threat Protection (ATP)	+15% uplift on the CPE MRC per site.	Requires a unified threat management (UTM) capable uCPE. Mandated for banking/retail handling PCI-DSS data.
Dedicated SOC Analyst	INR 15 Lakhs ARC (Annualized / Per FTE).	Only applicable for enterprise footprints > 100 sites or those purchasing the 'Large (HQ/DC)' SOC ingestion tier.

5. Contract Term Logic

Pricing discounts (and internal Sales Incentive Plan payouts) are heavily biased toward multi-year commitments to ensure CapEx amortization and reduce annualized churn.

5.1 Standard Term Discount Matrix

Contract Duration	Standard Discount Ceiling (Off List MRC)	AM Authority
12 Months	0% (List Price)	Yes
24 Months	up to 5%	Yes

Contract Duration	Standard Discount Ceiling (Off List MRC)	AM Authority
36 Months (Standard)	up to 15%	Regional Sales Head
60 Months	up to 25%	National Sales Head / CEBO

5.2 CapEx Surcharge (Financing)

If a customer refuses to pay the hardware OTC upfront, VI Business will finance the CPE.

- **Calculation:** The OTC is amortized across the contract term (e.g., 36 months) with a mandatory 12% annualized cost-of-capital markup added directly into the MRC line item.

6. Cross-Service Offers (The "Enterprise Core" Construct)

To differentiate against pure-play internet service providers, Commercial Finance strongly prioritizes integrated "Connectivity + Mobility + Cloud" constructs.

- **The "Triple Play" Discount:** If a single MSAs or RFP BoM contains SD-WAN (Data), Enterprise IoT (Mobility), and an Azure/AWS Interconnect (Cloud), the final commercial sheet automatically triggers an additional 5% strategic discount on the Total Contract Value (TCV).

7. Packaging Rules and Constraints

- **OTC Waivers:** Account Managers cannot waive initial setup fees (OTC) for custom fiber builds exceeding INR 50,000 without shifting the cost into a guaranteed 36-month minimum term MRC (See CapEx Surcharge).
- **Bandwidth Downgrades:** Customers may upgrade bandwidth dynamically (via Bandwidth on Demand) mid-contract, but cannot downgrade below the original signed baseline commitment during the initial term.
- **SLA Penalties:** Standard 99.95% availability is baked into the baseline package pricing. Any RFP demanding elevated SLA constraints (e.g., 99.999% or penalties exceeding 10% of the MRC) actively removes all Standard Term Discount authority from the Account Manager; these bids require mandatory Deal Desk calculation.

8. Proposal-Use Guidance

- **RFP Use:** Utilize Section 3 and Section 4 to accurately answer RFPs regarding "Service Tiering" and "Value-Added Services."
- **Pricing Submission:** While this document governs the internal logic, pricing submitted in external RFPs must be consolidated. *Do not expose the raw 12% cost-of-capital amortization formula to the customer.* Present a single, unified MRC.

9. Governance and Ownership

- **Owner:** Head of Enterprise Commercials
- **Reviewers:** Deal Desk, Finance Director
- **Update Cadence:** Evaluated quarterly. T-Shirt sizes and base MRC values updated annually on April 1st based on internal telecom inflation indices.